

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads	)	Docket No.	RM26-4-000
to the	)		
Interstate Transmission System	)		

**REPLY COMMENTS OF THE
PENNSYLVANIA OFFICE OF CONSUMER ADVOCATE,
DELAWARE DIVISION OF THE PUBLIC ADVOCATE,
AND THE PEOPLE OF THE STATE OF ILLINOIS BY THE OFFICE OF THE
ILLINOIS ATTORNEY GENERAL**

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I. INTRODUCTION

On November 21, 2025, the Pennsylvania Office of Consumer Advocate (PA OCA) and the Delaware Division of the Public Advocate (DE DPA) submitted Joint Comments to the Advanced Notice of Proposed Rulemaking (ANOPR) established in the above-captioned docket.¹ The PA OCA represents the interests of Pennsylvania’s residential utility consumers, including before the Federal Energy Regulatory Commission (FERC or Commission).² The DE DPA represents the interests of Delaware regulated utility consumers, including before FERC.³ The Office of the Illinois Attorney General (IL OAG) represents the People of the State of Illinois on public utility issues in proceedings before state and federal regulatory agencies and in state and federal courts.⁴

¹ See generally, *Interconnection of Large Loads to the Interstate Transmission System*, Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, Docket No. RM26-4-000 (Nov. 21, 2025). The Office of the Illinois Attorney General filed separate comments. See RM-26-4-000, Comments of the People of the State of Illinois by the Office of the Illinois Attorney General (November 21, 2025).

² See 71 P.S. § 309-4 (outlining powers of Consumer Advocate to represent Pennsylvania’s residential utility consumers in FERC proceedings and federal courts).

³ See 29 Del. C. § 8716(e).

⁴ See 15 ILCS 205/6.5(d).

The PA OCA, DE DPA, and IL OAG (collectively, the Joint Consumer Advocates) appreciate the opportunity to submit reply comments and further appreciates the DOE's and FERC's efforts "to ensure all Americans and domestic industries have access to affordable, reliable, and secure electricity."⁵

In submitting these reply comments, the Joint Consumer Advocates aim to protect the interests of residential utility consumers by ensuring their access to a reliable and affordable regional electricity grid. Residential ratepayers should not suffer unreliable electricity service or pay unreasonably high rates for inferior, unreliable grid service as a result of the interconnection of large loads that do not offset their demand through the addition of timely, local, and adequate capacity resources.⁶

II. SUMMARY OF REPLY COMMENTS

FERC should adopt a cooperative federalism model to govern large load interconnections, curtailments, and transmission cost allocations that preserves existing state jurisdiction. FERC should clarify curtailment protocols within a cooperative federalism paradigm because new large load growth may necessitate curtailments, and curtailments should protect current customers, especially residential consumers, over new large load customers that cause the resource inadequacy. The Joint Consumer Advocates are primarily concerned by the cumulative effect of the undisciplined interconnection of new large loads during a time when market conditions indicate that there may not be adequate generation capacity to serve all customers reliably.

⁵ See U.S. Sec'y of Energy, Letter Communicating Advanced Notice of Proposed Rulemaking on Large Load Interconnection (Oct. 23, 2025), [hereinafter ANOPR] <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

⁶ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, at pp. 2-3.

Residential consumers, unlike new large loads, have paid capacity market rates for resource adequacy, have not contributed to the growing grid resource inadequacy, and are not uniformly able to mitigate the impact of curtailments through alternative supply options. To protect residential consumers, FERC can and should recognize that RTOs must depart from pro-rata transmission curtailment in the rare circumstances where (1) the large loads have caused the resource inadequacy; and (2) the RTO (a) has exhausted all of its options for avoiding transmission curtailment of customers, and (b) has established that those transmission customers that would be disproportionately affected by the curtailment – large loads – have options to reduce their need for transmission capacity, including alternative supply options, compensation for demand response, or reduced transmission rates for the interruptible service they are provided.

Given the unique issues that large loads create for grid reliability, treating new large loads differently from other load is reasonable and necessary to ensure reliable service and just and reasonable rates for existing consumers, especially residential consumers. FERC can and must appropriately treat new large loads attributable to data centers differently from other kinds of load because: (1) data centers are creating unique difficulties for the grid and impacting a uniquely vulnerable market at a uniquely expensive level; and (2) investments in data centers can be speculative and uncertain in nature, increasing the risk of a severe market correction that would create stranded costs.⁷

FERC should stay the course and adopt the proposed 20 MW threshold to define large loads and hybrid facilities because this MW threshold helps protect against reliability concerns from

⁷ See ADAIT ARUN, BUBBLE OR NOTHING: DATA CENTER PROJECT FINANCE 43-48, 57-58, 60 (Ctr. for Pub. Enter. 2025), <https://publicenterprise.org/report/bubble-or-nothing/> (describing the speculative nature of investment in new large data center loads which creates a risk of stranded costs atypical under current market conditions).

large loads or hybrid facilities by requiring proper interconnection studies that will reduce reliability risks for all electricity consumers.

Finally, FERC should build on FERC Order 2023 by continuing to streamline processes that factor hybrid facilities jointly in the interconnection study. FERC should approach injection and withdrawal rights according to grid-protective assumptions that prevent free-riding and regulatory evasion. FERC and PJM should facilitate expedited interconnection studies of large loads and hybrid facilities that agree to be meaningfully curtailable or dispatchable. FERC should ensure that large loads and hybrid facilities pay fully for their network upgrade costs without unjustly burdening residential ratepayers and all other grid users.

III. REPLY COMMENTS

A. FERC should adopt a cooperative federalism model to govern large load interconnections, curtailments, and transmission cost allocations.

1. FERC should adopt a cooperative federalism model that preserves existing state jurisdiction.

FERC should adopt a cooperative federalism model to facilitate the interconnection of large loads as retail customers directly through state jurisdictional facilities to interstate transmission systems.⁸ Such an effort must preserve existing state authority according to the Federal Power Act (FPA), as many commenters have emphasized.⁹ Cooperative federalism plays an important role where state action furthers the objectives of the FPA and FERC, despite indirect effects on matters

⁸ See, e.g., Comments of the Edison Electric Institute, at p. 2 (“The right outcome of this proceeding is a sure-footed response by the Commission that acts in concert with ongoing efforts by utilities, states, and ISO/RTOs.”). See also Comments of the National Association of Regulatory Utility Commissioners, at p. 6 (“NARUC pledges to engage with regulated entities and other stakeholders to explore consensus solutions for FERC’s consideration that will help meet national goals for large load interconnection, while avoiding disputes over jurisdiction that would impede achieving our shared goals.”). “Working together, under the concept of cooperative federalism, will lead to optimal solutions.” *Id.*

⁹ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, at pp. 5-16. See also Comments of the Pennsylvania Public Utility Commission, at pp. 4-5, 7; Comments of the Organization of PJM States, Inc., at pp. 1-5, 9-10; Comments of the National Association of Regulatory Utility Commissioners, at pp. 1-5; Comments of the Edison Electric Institute, at pp. 4, 22-32; Comments of PPL Services Corporation, at pp. 8-9; Comments of Governor Josh Shapiro and Governor Glenn Youngkin, at p. 1.

subject to FERC’s jurisdiction, while still expressing an important policy of the state.¹⁰ However, the Joint Consumer Advocates submit that further clarification is necessary regarding how cooperative federalism applies to large load additions.

Specifically, a regulatory framework of the “floor-not-ceiling” preemption model best suits the careful balancing of interests that will enable FERC to achieve its goals and avoid burdensome litigation.¹¹ This framework is particularly important for setting federal minimum standards to address grid reliability, including resource adequacy.¹² These minimum standards must protect residential customers¹³ by effectuating the FPA’s “‘core purposes’ of ‘curb[ing] prices and enhanc[ing] reliability in the wholesale electricity market,’”¹⁴ while fully preserving state regulatory jurisdiction over retail load interconnections and curtailments.¹⁵ Such minimum standards should take two primary forms: (1) minimum, consumer-protective (*pro forma*) tariff standards, terms, and conditions for Regional Transmission Operators (RTOs)/Independent System Operators (ISOs) that will implement large load interconnection queues in coordination with transmission owners (TOs) and interconnecting electric distribution companies (EDCs),¹⁶ and (2)

¹⁰ *Elec. Power Supply Ass’n v. Star*, 904 F.3d 518, 524 (7th Cir. 2018) (upholding Illinois legislation creating “zero emission credit” program); *Coal. for Competitive Elec. v. Zibelman*, 906 F.3d 41, 51 (2d Cir. 2018) (upholding New York legislation creating “zero emission credit” program); *Dayton Power & Light Co. v. FERC*, 126 F.4th 1107, 1129-31 (6th Cir. 2025), *cert. denied*, Nos. 25-1304, 25-1318 (Nov. 10, 2025) (upholding Ohio legislation requiring state transmission utilities to join a Regional Transmission Operator).

¹¹ See Paul S. Weiland, Comment, *Federal and State Preemption of Environmental Law: A Critical Analysis*, 24 HARV. ENVTL. L. REV. 237, 282-83 (2000) (describing Floor-not-Ceiling preemption model in environmental law context).

¹² 16 U.S.C. § 824o(i)(3); *Planning Res. Adequacy Assessment Reliability Std.*, 134 F.E.R.C. P61,212, PP 20-26 (2011).

¹³ Comments of the United States Senate Committee on Energy and Natural Resources, at p. 1 (“[T]he Commission must ensure that residential customers are not forced to bear the costs of these large-load interconnections.”).

¹⁴ *Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 964 F.3d 1177, 1186 & n.5 (D.C. Cir. 2020) (quoting *FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260, 273 (2016)).

¹⁵ See Matthew R. Christiansen & Joshua C. Macey, *Long Live the Federal Power Act’s Bright Line*, 134 HARV. L. REV. 1360, 1407-12 (2021) (formulating FPA preemption analysis that includes an objective analysis of “what the regulation does, the problem it is supposed to remedy, and the link between them”).

¹⁶ See Initial Comments of PJM Interconnection, L.L.C., at pp. 3-4 (noting that an RTO-administered large load queue should not exclude EDCs and TOs from the study and agreement process because they own the necessary facilities and have expert knowledge of those facilities).

minimum consumer-protective standards, terms, and conditions for jurisdictional aspects of contractual agreements and cost allocations, such as transmission security agreements (TSAs)¹⁷ and construction services agreements.¹⁸

2. FERC should clarify curtailment protocols within a cooperative federalism paradigm because data center load growth may necessitate curtailments, and curtailments should protect current customers over new large data center load customers that cause resource inadequacy.

Due to the harmful impact that the undisciplined addition of large loads to regional grids has on resource adequacy and grid reliability, FERC and the states should cooperate to ensure that the manual shedding of load, to the extent required, allocates the risk caused by such additions without unduly discriminating against existing customers or creating unjust and unreasonable capacity market paradigms. This is especially so for residential customers, which, unlike new large loads, have paid capacity market rates for resource adequacy, have not contributed to the growing resource inadequacy, and are not uniformly able to mitigate the impact of curtailments through back-up supply options.¹⁹

¹⁷ See *PECO Energy Co.*, 193 FERC ¶ 61,148 (2025) [hereinafter *PECO TSA Order*] (Chang, Comm’r, concurring) (highlighting customer impacts from massive scope of data-center-focused transmission buildout in PJM and resulting need for federal minimum customer protections). “I raise customer protection concerns here because I expect that the Commission will increasingly be asked to review one-off agreements purporting to protect customers against transmission cost shifts, without a substantive framework for assessing the adequacy of those protections.” *Id.* at P 6.

¹⁸ See, e.g., *Dayton Power & Light*, 189 FERC ¶ 61,220 at PP 2, 10 (Dec. 20, 2024) (citing *Mansfield Mun. Elec. Dep’t v. New England Power Co.*, 97 FERC ¶ 61,134 (2001), *reh’g denied*, 98 FERC ¶ 61,115 (2002); *Ne. Tex. Elec. Coop., Inc.*, 108 FERC ¶ 61,084, at P 48 (2004), *reh’g denied*, 111 FERC ¶ 61,189 (2005)) (accepting the public utility’s assertion that the transmission facilities do not satisfy any of the five criteria under FERC’s Mansfield test to be considered as integrated into the transmission provider’s transmission system now or in the future and thus are properly treated as direct assignment rather than rolled-in for FERC formula ratemaking purposes).

¹⁹ See Comments of U.S. Congressman Suhas Subramanyam et al., at p. 1 (“[W]e urge FERC to ensure the forthcoming rulemaking process fully considers . . . [a]uthorizing utility-administered curtailment protocols during grid emergencies.”); *but cf.* Comments of the People of the State of Illinois by the Office of the Illinois Attorney General, at p.11 (raising doubts and questions about this arrangement); see also NERC Reliability Standard EOP-011-4, 89 Fed. Reg. 13324 (Feb. 22, 2024) (requirement the establishment of regional emergency procedures, including for curtailment of load, and requiring that state-jurisdictional distribution providers implement such procedures).

FERC “has authority to effect orderly curtailment plans involving both direct sales and sales for resale.”²⁰ It also “has authority to curtail [transmission] deliveries to all customers in time of shortage” without such curtailments interfering with the States’ exclusive authority over retail sales.²¹ Indeed, RTOs have a vital role in allocating and administering curtailments.²²

But how exactly RTOs should administer large load curtailments within a cooperative federalism paradigm requires the Commission’s clarification.²³ To protect residential customers, FERC can and should recognize that RTOs must depart from pro-rata transmission curtailment in the rare circumstances where (1) the large loads have caused the resource inadequacy; and (2) the RTO has (a) exhausted all of its options for avoiding transmission curtailment of customers, and (b) has established that those transmission customers that would be disproportionately affected by the curtailment – new large loads – have options to reduce their need for transmission capacity, including alternative supply options, compensation for demand response, or reduced transmission rates for the interruptible service they are provided.²⁴

²⁰ *FPC v. Louisiana Power & Light Co.*, 406 U.S. 621, 631 (1972). *See also* Christiansen & Macey, *supra* note 15, at 1382 (“[B]ecause the NGA and the FPA distribute jurisdiction between FERC and states in exactly the same way, courts have always found that NGA cases are binding precedent in FPA cases and vice versa.” (citations omitted)).

²¹ Brief for FERC at 46, *New York v. FERC*, 535 U.S. 1 (2002) (Nos. 00-568, 00-809). *See also* *Fed. Power Com. v. Hope Nat. Gas Co.*, 320 U.S. 591, 610 (1944) (“The primary aim of this legislation was to protect consumers against exploitation at the hands of natural gas companies.”).

²² *Reg’l Transmission Orgs.*, Order No. 2000, 89 F.E.R.C. P61,285, 61896 (1999), *reaff’d, clarified by, in part, reh’g denied by, in part, Reg’l Transmission Orgs.*, 90 F.E.R.C. P61,201 (2000) (codified at 18 C.F.R. pt. 35); *see also* *N. States Power Co. v. FERC*, 176 F.3d 1090 (8th Cir. 1999), *cert. denied*, 528 U.S. 1182 (2000); Brief for FERC at 48, *New York v. FERC*, 535 U.S. 1 (2002) (Nos. 00-568, 00-809).

²³ *See, e.g.*, Comments of the Organization of PJM States, Inc., at p. 8 (citing 16 U.S.C. 824h) (identifying FPA’s explicit authorization of cooperative federalism); *see also* Comments of U.S. Congressman Suhas Subramanyam et al., at p. 1 (“[W]e urge FERC to ensure the forthcoming rulemaking process fully considers . . . [a]uthorizing utility-administered curtailment protocols during grid emergencies.”). The Congressmembers emphasize “affordability, reliability, and fairness.” *Id.* at p.2.

²⁴ Brief for FERC at 48-49 & n.24, *New York v. FERC*, 535 U.S. 1 (2002) (citing *N. States Power Co. (Minn.)*, 89 F.E.R.C. ¶ 61,178, at 61,553 (1999)).

B. Given the unique issues that large loads create for grid reliability, treating new large loads differently from other load is reasonable and necessary to ensure reliable service and just and reasonable rates for existing consumers, especially residential consumers.

FERC and PJM should, when facilitating large load interconnections according to federal priorities, make reasonable distinctions, meaning “due” discriminations, about data center load because that load has unique characteristics that impact reliability and rates differently from other loads.²⁵ In fact, PJM’s initial Critical Issue Fast Path (CIFP) proposal for Large Load Additions recognized the need to treat new large loads—nearly all of which are data centers²⁶—differently from other loads, by proposing to categorize them as Non-Capacity-Backed Load subject to curtailment if they failed to bring their own generation or demand response.²⁷ Although PJM dropped the proposal,²⁸ PJM’s Board and Staff introduced the initial proposal with differentiated treatment for new large loads because they were looking squarely at the reality that new large data center loads seek to interconnect in a regional grid projected to have insufficient capacity to provide reliable service to its current customers.²⁹

²⁵ See Comments of the Independent Market Monitor for PJM, Attach. B, at p. 4.

It has been asserted that requiring large new data center loads to bring their own new generation would be discriminatory. The relevant standard for prohibited discrimination is undue discriminatory. It is not undue discriminatory to identify the class of large data centers and impose requirements on that class that match the impact of that class on all other customers. It would be undue discriminatory to all other customers, from the smallest residential customer to the largest industrial customer, to allow large data centers to add massive amounts of load to the system that cannot be served reliably with resulting price impacts and reliability impacts on those other customers. *Id.* (citing 16 U.S.C. § 824d(b)).

²⁶ Letter from PJM to PJM Stakeholders (Aug. 8, 2025), <https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf>. Of the 32 GW of peak load growth that PJM has forecast for 2024 to 2030, 30 GW come from data centers. *Id.*

²⁷ See Comments of the Independent Market Monitor for PJM, Attach. A, at pp. 2-3 & n.9.

²⁸ Ethan Howland, *PJM Stakeholders Overwhelmingly Pan Proposal for Data Center Interconnection*, Util. Dive (Sep. 2, 2025).

²⁹ Cf. NERC, *Industry Recommendation: Large Load Interconnection, Study, Commissioning, & Operations*, at 1 (Sep. 9, 2025), <https://www.nerc.com/globalassets/programs/bpsa/alerts/2025/nerc-alert-level-2--large-loads.pdf> (positing that the “comparatively large size, unique end-use operational characteristics, unique facility design, and unique operational performance of Large Loads necessitate enhancements to interconnection processes, BPS planning studies and models”); Stu Bresler & Tim Horger, *Large Load Additions PJM Conceptual Proposal and Request for Member Feedback*, PJM (Aug. 18, 2025), <https://www.pjm.com/-/media/DotCom/committees-groups/cifp->

PJM’s Independent Market Monitor (IMM) asserts that “[d]ata center load growth is the primary reason for recent and expected capacity market conditions, including total forecast load growth, the tight supply and demand balance, and high prices.”³⁰ Moreover, in accepting its FERC-approved temporary price collar, PJM acknowledged that it currently faces “extraordinary circumstances . . . including rapid load growth, interconnection queue issues, a compressed auction schedule, and significant unhedged load exposure.”³¹ Despite these unique, worrisome, and potentially tragic conditions, data center load insists that PJM and FERC cannot treat these large loads differently. But new large loads are different,³² and their effects on the market are different.³³

Google, for example, asserts that “[b]ecause all load is ‘economically marginal’ in the sense that customers impose equivalent costs ‘whether by adding or merely continuing their usage’ regardless of when they first took service, imposing a requirement on only new load to bring its own supply would be unjust and unreasonable and unduly discriminatory.”³⁴ The case that Google cites for this proposition, *BNP Paribas Energy Trading GP v. FERC*, implicitly assumes standard additions of load in normal market conditions. In that case, the D.C. Circuit Court of Appeals

lla/2025/20250818/20250818-item-03---pjm-conceptual-proposal-and-request-for-member-feedback---presentation.pdf.

³⁰ Comments of the Independent Market Monitor for PJM, Attach. A, at p. 3.

³¹ *PJM Interconnection, L.L.C.*, 191 FERC ¶ 61,066, at P 15 (2025).

³² NERC, *Industry Recommendation: Large Load Interconnection, Study, Commissioning, & Operations*, at 1 (Sep. 9, 2025), <https://www.nerc.com/globalassets/programs/bpsa/alerts/2025/nerc-alert-level-2--large-loads.pdf> (positing that the “comparatively large size, unique end-use operational characteristics, unique facility design, and unique operational performance of Large Loads necessitate enhancements to interconnection processes, BPS planning studies and models”).

³³ See *PECO TSA Order*, 193 FERC ¶ 61,148, at P 4 (2025) (Chang, Comm’r, concurring) (“From a transmission perspective, the new load addition paradigm, in which increasing numbers of large, discrete loads interconnect to the grid, has the potential to fundamentally alter the pace, amount, and size of new transmission investment.”).

³⁴ Comments of Google LLC, at p. 11 & n.11 (first citing *BNP Paribas Energy Trading GP v. FERC*, 743 F.3d 264, 268-69 (2014); and then citing 1 ALFRED KAHN, *THE ECONOMICS OF REGULATION: PRINCIPLES AND INSTITUTIONS* 140 (The MIT Press 1998)).

writes that “the cost causation principle *generally* calls for giving the same treatment to new and continuing customers, based on a straightforward economic rationale.”³⁵

Google implicitly equates *data center* loads under *current* market conditions to normal loads in normal market conditions. With skyrocketing costs in PJM, the introduction of new large loads causes a massive shift in the demand curve, a shift equal to the size of certain RTO markets. The *BNP Paribas* court writes that “[w]here ‘all customers cause the incurrence of the costs . . . , whether by adding or merely continuing their usage,’ . . . assignment of the costs to all customers (both continuing and new) forces each set ‘to weigh the marginal benefits of the capacity to them against the marginal costs they impose on society by continuing to make demands.’”³⁶ This analysis of cost causation assumes that “all customers cause the incurrence of the costs,” which does not capture the current economic and engineering realities of data centers’ outsized impact on costs.³⁷ Furthermore, the *BNP Paribas* court focuses on cost assignment’s role in causing customers “to weigh the marginal benefits of the capacity to them against the marginal costs they impose on society by continuing to make demands.”³⁸ This marginal weighing, if it is to account for current market conditions,³⁹ should reflect the vast marginal costs that large new data centers uniquely impose on other customers due to the necessary buildout of capacity to meet the demands

³⁵ *BNP Paribas*, 743 F.3d at 268 (emphasis added).

³⁶ *Id.* (citations omitted) (citing KAHN, *supra* note 34, at 140).

³⁷ *Cf.* Comments of the Independent Market Monitor for PJM, Attach. A, at p. 3 (“Data center load growth is the primary reason for recent and expected capacity market conditions, including total forecast load growth, the tight supply and demand balance, and high prices.”).

³⁸ *BNP Paribas*, 743 F.3d at 268 (citing KAHN, *supra* note 34, at 140).

³⁹ *PJM Interconnection, L.L.C.*, 191 FERC ¶ 61,066, at P 15 (2025) (PJM currently faces “extraordinary circumstances . . . including rapid load growth, interconnection queue issues, a compressed auction schedule, and significant unhedged load exposure.”).

of large loads while providing incumbent customers with adequate, reliable, and affordable service.⁴⁰

Therefore, the Joint Consumer Advocates encourage FERC to reject a marginal view of large load additions. Viewing each large load addition on an individual basis obfuscates the cumulative pressure that undisciplined interconnection of large load customers creates. Instead, FERC should view through a holistic lens the unique resource adequacy constraint which large load additions can create if not properly mitigated. While a single large load addition may not—in and of itself—create resource inadequacy, the totality of large load additions will. As a result, due to the unique circumstances posed by current market conditions and the potential for the undisciplined interconnection of large load customers, the Joint Consumer Advocates urge FERC to view these additions on a cumulative basis.

Further, new investment in large data center loads can be more speculative than that in large loads which have already interconnected to the grid, increasing the risk of a severe market correction that creates stranded costs; as a result, FERC and the states must adapt their regulations to this new type of customer.⁴¹

C. Definition of Large Load and Hybrid Facilities

In the ANOPR, the second principle for reform provides:

Second, consistent with the Commission’s pro forma LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW. We seek comment on alternative thresholds, including whether such a threshold is necessary at all.⁴²

⁴⁰ Comments of the Independent Market Monitor for PJM, Attach. A, at p. 3 (“Data center load growth is the primary reason for recent and expected capacity market conditions, including total forecast load growth, the tight supply and demand balance, and high prices.”); *see also* Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, at pp. 30-31 (discussing cost causation).

⁴¹ *See generally*, ARUN, *supra* note 7, at 43-48, 57-58 (illustrating that investment in new large data center loads can be highly speculative, which creates the risk for an increase in stranded costs).

⁴² ANOPR, *supra* note 5, at P 19.

Several commenters assert that the 20 MW threshold for either new loads or hybrid facilities is too low, arguing that it will clog interconnection queues and reduce opportunities for streamlining the interconnection of these facilities.⁴³

The Joint Consumer Advocates disagree.⁴⁴ The ANOPR definition applies to *new* large load and hybrid facilities and therefore would not apply to commercial and industrial loads already connected to lower voltage transmission lines.⁴⁵

Other commenters indicate concern with new facilities that are between 20 MW and their proposed threshold (e.g., 100 MW⁴⁶ or 200 MW⁴⁷). They provide no evidence, however, that their threshold avoids their concern with “clogging” interconnection queues. The PJM Transmission Owners point out that the trend is towards larger data centers, for which they claim a bottom threshold of at least 200 MW.⁴⁸ If this is the case, then a lower threshold would not add that many more data centers, and a 200 MW threshold would not substantially reduce the number.

Most importantly, as the Joint Consumer Advocates pointed out in their Initial Joint Comments, NERC’s definition of large loads does not include a minimum size.⁴⁹ If the threshold here must numerically express a minimum quantity of power units, a lower MW threshold helps protect against reliability concerns from large loads or hybrid facilities that are below the threshold, including in the event that entities structure their facilities to attempt to avoid regulatory

⁴³ Comments of FirstEnergy Service Company, p. 4.

⁴⁴ See Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, pp. 16-17; see also Comments of the Ohio Consumers’ Counsel, p. 8.

⁴⁵ “Other proposals in the ANOPR may need more development. For example, the proposal to assert jurisdiction to all loads down to 20 MW risks overshooting the mark. This low threshold would bring in not just large data centers connecting to the high voltage bulk electric system, but also snare many longstanding commercial and industrial loads connected to lower voltage transmission lines.” Comments of PPL Services Corporation, p. 2.

⁴⁶ Comments of the Pennsylvania Public Utility Commission, p. 9.

⁴⁷ Comments of FirstEnergy Service Company, p. 2; Comments of the Indicated PJM Transmission Owners, p. 7.

⁴⁸ Comments of the Indicated PJM Transmission Owners, p. 7.

⁴⁹ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, pp. 16-17.

requirements. On the other hand, quickly interconnecting large loads and hybrid facilities without conducting proper interconnection studies will impose reliability risks on all electricity consumers including existing and prospective large load customers.

The PA PUC correctly points out that the ANOPR does not consider an aggregate threshold for defining large loads and hybrid facilities.⁵⁰ The Joint Consumer Advocates reiterate their position on this issue that the threshold “should apply to the customer’s aggregate power requirement rather than to a single point of interconnection.”⁵¹ Studying aggregate power requirements, as well as necessary transmission upgrades for the interconnection of large loads, would be similar to the methodology transmission operators currently employ to study a “cluster” of generation interconnections which was standardized in FERC Order 2023.⁵²

The PJM Transmission Owners note that many loads “are significantly lower when they first enter commercial operation, but following expansion and full potential of operation capacity, their demand increase to much higher levels.”⁵³ The definition of large load and hybrid facilities should use the planned full operational capacity, even if the facility is planning to ramp up its operations over time. Otherwise, a new large load or hybrid facility could circumvent the threshold requirement by phasing in its operations.

⁵⁰ Comments of the Pennsylvania Public Utility Commission, p. 9.

⁵¹ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, p. 17. If there is no aggregate limit and the threshold is 200 MW, then, for example, a group of five, 199 MW new loads operated by a single entity at the same location, could avoid the large load interconnection requirements.

⁵² See *Improvements to Generator Interconnection Proc. & Agreements*, Order No. 2023, 184 F.E.R.C. ¶ 61,054, P 177 (July 28, 2023) modified by *Improvements to Generator Interconnection Proc. & Agreements*, Order No. 2023-A, 186 F.E.R.C. ¶ 61,199, PP 73-79 (Mar. 21, 2024).

⁵³ Comments of the Indicated PJM Transmission Owners, p. 9.

D. Interconnection Studies and Network Upgrade Cost Allocation for Large Loads and Hybrid Facilities

1. FERC should build on FERC Order 2023 by continuing to streamline processes that factor hybrid facilities jointly in the interconnection study.

In the ANOPR, the third principle for reform provides:

Third, to the extent practicable, load and hybrid facilities should be studied together with generating facilities. Such an approach will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades. For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.⁵⁴

In the Initial Joint Comments, the Joint Consumer Advocates supported methods to reduce generation interconnection study times and studying load and hybrid facilities to reduce the need for costly network upgrades, “provided that the interconnection study process is comprehensive and technically sound.”⁵⁵

Commenters that plan and operate the power system and wholesale electricity markets raised similar concerns as the Joint Consumer Advocates and are cautious regarding the ANOPR’s asserted benefits of joint interconnection studies. PJM states:

Further, if PJM understands the ANOPR correctly, the proposed reforms appear to signal an openness to a less-reliable planning paradigm for new generation facilities (see, e.g., Principles 3 and 5) where hybrid facilities involving ‘new generation facilities’ are studied based solely on injection and/or withdrawal rights requested, and large loads and hybrid facilities that agree to be curtailable will have their studies expedited so that such facilities can be put into operation with greater speed.⁵⁶

⁵⁴ ANOPR, *supra* note 5, at P 20.

⁵⁵ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, p. 18. The need for comprehensive and technically sound studies is supported by actual reliability events involving large loads, unplanned and planned maintenance of co-located generating facilities, and the challenges in ensuring large loads and hybrid facilities operate at all times per the requirements in their interconnection agreements.

⁵⁶ Initial Comments of PJM Interconnection, L.L.C., pp. 9-10. Google asserts: “Indeed, paired load and grid-connected generation presents an even more compelling case for consideration of operating parameters because these arrangements can often involve unique operating characteristics that are unlike a standalone load or standalone generator. Moreover, these arrangements are a valuable mechanism to facility the load growth necessary to meet the

PJM further observes that the ANOPR’s “connect-and-manage” approach is not as robust and reliable as existing practices and increases operational burdens.⁵⁷ The NERC Large Load Task Force is well-equipped to continue its work,⁵⁸ and its results should inform the Commission.

The PJM Transmission Owners raise concerns similar to PJM’s, and state that the interconnection study process needs to ensure that the full amount of the customer’s on-site load and generation can be reliably interconnected,⁵⁹ which requires studying them separately.

2. FERC should approach injection and withdrawal rights according to grid-protective assumptions that prevent free-riding and regulatory evasion.

The fifth principle for reform included in the ANOPR provides:

Fifth, hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested. For example, a hybrid facility consisting of a 500MW load and a 600MW generating facility may seek no withdrawal rights and 100MW of injection rights. This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system.⁶⁰

FERC should consider coordinating large load studies while studying load and generation separately in case “the system needs to accommodate the full amount of the on-site load, or on-site generation, without the other.”⁶¹ Experimental configurations merit close scrutiny, to ensure that the large loads do not engage in “free-riding” or other regulatory manipulation.⁶² As the Edison Electric Institute stated, “to ensure fairness and avoid implementation complexity, the Commission

AI moment while minimizing strain on the grid.” Comments of Google LLC, p. 10. Numerous, unique operating arrangements may introduce reliability challenges particularly if they are studied in an accelerated and truncated manner and if any associated operating restrictions compliance cannot be guaranteed.

⁵⁷ Initial Comments of PJM Interconnection, L.L.C., p. 10, n.5.

⁵⁸ *Id.* at p. 12.

⁵⁹ Comments of the Indicated PJM Transmission Owners, pp. 36-37.

⁶⁰ ANOPR, *supra* note 5, at P 22.

⁶¹ Comments of the Indicated PJM Transmission Owners, pp. 36-37.

⁶² *See* Comments of the Edison Electric Institute, at p. 17.

should make a gross load approach the default for both ancillary services and transmission, subject to exception only if a utility supports and the state approves a different approach.”⁶³

The Joint Consumer Advocates submit that permitting hybrid facilities to be metered on a gross basis, instead of on a net basis, helps to ensure that hybrid facilities are adequately paying for the costs the transmission utility incurred to serve them. As PPL Electric argued, the use of net metering for hybrid facilities can permit the network customer to evade its fair share of transmission rates and can result in subsidization by other network customers.⁶⁴ While having large loads bring their own generation and interconnect as hybrid facilities can be beneficial for reliability and resource adequacy, as well as capacity, energy, and transmission costs,⁶⁵ large loads are still responsible for paying for their share of the existing transmission system based upon their net metered load. As a result, the Joint Consumer Advocates recommend that hybrid facilities have their load and generation components metered separately, to ensure fair and accurate cost allocation of transmission costs.

3. FERC and PJM should facilitate expedited interconnection studies of large loads and hybrid facilities that agree to be meaningfully curtailable or dispatchable.

The seventh principle for reform included in the ANOPR provides:

Seventh, the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator’s ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on

⁶³ *Id.* at 16.

⁶⁴ Comments of PPL Services Corporation, p. 2.

⁶⁵ *See generally*, CARLO BRANCUCCI, DYLAN CUTLER & JESSE JENKINS, FLEXIBLE DATA CENTERS: A FASTER, MORE AFFORDABLE PATH TO POWER (2025), <https://www.camus.energy/flexible-data-center-report>.

appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days.⁶⁶

In the Initial Joint Comments, the Joint Consumer Advocates raised important reliability concerns regarding the interconnection of large loads and hybrid facilities and reiterate these concerns in response to other comments.

As other commenters noted, if implemented, Principle 7 requires “fully developed processes that ensure reliability”⁶⁷ and may require the transmission owner “to separately study large loads.”⁶⁸ The Joint Consumer Advocates also concur with the comments that any curtailable or dispatchable commitments made by large loads and hybrid facilities must be verifiable, enforceable, and subject to penalties for non-performance.⁶⁹ There should not be limits on the number of curtailable events or the number of times for curtailments as some request.⁷⁰ Such limits shift the risk of curtailments to other large loads and hybrid facilities which did not receive the benefits of expedited interconnection and to other non-large load customers that are not causing the need for curtailment.

The Initial Joint Comments raised the concern with resource adequacy if large loads are allowed to interconnect without having sufficient capacity (either through generation and reserves or capacity-backed demand response) to offset the additional load.⁷¹ The PJM Market Monitor has filed a Complaint on a similar basis, asserting that it is not “just and reasonable for PJM to add

⁶⁶ ANOPR, *supra* note 5, at P 24.

⁶⁷ Comments of the Indicated PJM Transmission Owners, p. 38.

⁶⁸ Comments of the Indicated PJM Transmission Owners, p. 38.

⁶⁹ Comments of Emerald AI, p. 4; Comments of the Ohio Consumers’ Counsel, pp. 9-11.

⁷⁰ Comments of Emerald AI, p. 8; Comments of Google LLC, p. 12.

⁷¹ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, p. 24.

new loads that it cannot serve reliably.”⁷² If *any* load is not fully capacity-backed at the time of interconnection, *no* load is capacity-backed.⁷³

Some commenters oppose considering resource adequacy as part of the large load or hybrid facility interconnection process.⁷⁴ They argue that such considerations discriminate against new load and existing generators.⁷⁵ In the PJM context, such arguments do not account for existing agreements that require load serving entities to comply with resource adequacy requirements.⁷⁶ Prior to the surge in large load interconnection requests, as a practical matter, it was not necessary to evaluate whether small, typical loads would cause a resource adequacy problem because there was more than sufficient existing generation capacity and the market signal for new generation had been relatively modest. Now that the PJM market is tight and increasingly short, the addition of large loads, which outpaces the addition of capacity, creates new and unique challenges for the regional grid that will not likely be solved solely through agreements to curtail.

4. FERC should ensure that large loads and hybrid facilities pay fully for their network upgrade costs without unjustly burdening residential ratepayers and all other grid users.

The eighth principle for reform included in the ANOPR provides:

Eighth, load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. We seek comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years.⁷⁷

⁷² Comments of the Independent Market Monitor for PJM, Attach. A, p. 6 (filing Complaint).

⁷³ See Comments of the Independent Market Monitor for PJM, Attach. B.

⁷⁴ Comments of the Electric Power Supply Association, p. 18; Comments of Google LLC, p. 11 & n.11.

⁷⁵ See *supra* Section III.B (explaining basis for reasonable discriminations based on AI data centers’ unique characteristics and effects).

⁷⁶ Comments of the Independent Market Monitor for PJM, Attach. A, pp. 8-9 (filing Complaint).

⁷⁷ ANOPR, *supra* note 5, at P 25.

The Commission should consider Commissioner Chang’s concurring opinion in *PECO Energy Company* and its focus on the “higher of” method of transmission cost allocation.⁷⁸ As noted in the Initial Joint Comments, large load and hybrid facilities should be responsible for 100% of the network upgrade assigned to them through the interconnection studies and that these costs should *not* be offset through a crediting mechanism.⁷⁹ The Joint Consumer Advocates specifically recommend that FERC revisit a “but-for” test when determining which costs should be paid 100% by the large load customers, similar to the test traditionally used by FERC for cost allocation for the interconnection of generators.⁸⁰

- a. FERC should consider revisiting its transmission cost allocation methods for new large loads because *Mobile-Sierra* review under the existing framework offers insufficient consumer protections from the unique impacts of “discrete large loads.”**

Commissioner Chang’s concurring opinion correctly addresses cooperative federalism and the need for consumer-protective transmission cost allocation. Individually negotiated transmission security agreements reviewed under a *Mobile-Sierra* framework using the existing cost allocation paradigm offer insufficient consumer protections.⁸¹ These agreements implicate “complicated jurisdictional and policy questions with significant implications for both state and federal regulators,” and therefore “we should exercise our authorities in a complementary fashion to ensure that both retail and wholesale customers are protected against unjustified cost increases associated with large discrete load additions.”⁸² As a result, FERC should close jurisdictional gaps

⁷⁸ See *PECO TSA Order*, 193 FERC ¶ 61,148 (2025) (Chang, Comm’r, concurring) (highlighting customer impacts from massive scope of data-center-focused transmission buildout in PJM and resulting need for federal minimum customer protections).

⁷⁹ Comments of the Ohio Consumers’ Counsel, p. 2.

⁸⁰ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, pp. 26-27.

⁸¹ *PECO TSA Order*, at PP 1-2 (Chang, Comm’r, concurring).

⁸² *Id.* at PP 2-3 (Chang, Comm’r, concurring).

where states cannot act to protect retail customers.⁸³ This gap-closing should continue to “recognize[] and preserve[] states’ essential role in protecting retail customers.”⁸⁴

The new data center load addition paradigm is fundamentally altering “the pace, amount, and size of new transmission investment.”⁸⁵ This has manifested through hundreds of new transmission projects costing billions of dollars, creating circumstances conducive to the Commission’s application of its “higher of policy.”⁸⁶ Commissioner Chang explains:

If the Commission were to adopt such a “higher of” policy in this situation, the new, discrete large load would pay the “higher of” the rolled-in rate or an incremental rate where the costs of the upgrades to the transmission system are paid for solely by the new loads. Under such a pricing policy, existing consumers would be protected from cost increases associated with the potential significant cost of the upgrades to the transmission system necessary to serve the new incremental customer(s). This “higher of” pricing policy could serve as a useful approach for ensuring that the new, discrete large load’s demand does not significantly and directly increase the cost of transmission for other customers.⁸⁷

The Commission should consider implementing a cooperative federalism approach according to a clear policy with minimum standards, because “the scale and cost implications of discrete large loads are clearly bringing this issue to the fore.”⁸⁸ While the Joint Consumer Advocates supported the use of a “but-for” test when determining which costs should be paid 100% by large load additions in the Initial Joint Comments, the Joint Consumer Advocates encourage FERC to consider the implications of a “higher of” policy in the alternative. Ultimately, however, the most critical consideration is ensuring that new large loads bear at least the full cost

⁸³ *Id.* at P 3 (Chang, Comm’r, concurring).

⁸⁴ *Id.*

⁸⁵ See *PECO TSA Order*, at P 4 (Chang, Comm’r, concurring).

⁸⁶ *Id.* at P 4 & nn. 5-6 (first citing Union of Concerned Scientists, *Connection Costs* 4 (Sep. 2025), <https://www.ucs.org/sites/default/files/2025-09/PJM%20Data%20Center%20Issue%20Brief%20-%20Sep%202025.pdf>; and then citing *Inquiry Concerning the Commission’s Pricing Policy for Transmission Servs. Provided by Pub. Utils. Under the Fed. Power Act*, 59 Fed. Reg. 55031 (Nov. 3, 1994), FERC Stats. & Regs. ¶ 31,005 (1994)).

⁸⁷ *Id.* at P 5.

⁸⁸ See 193 FERC ¶ 61,148, at P 6 (Chang, Comm’r, concurring).

of the network upgrades that their interconnections cause. Without cost allocation reform, existing customers will face mounting transmission costs due to the cumulative effect of a patchwork of individually negotiated interconnection agreements, reviewed under a *Mobile-Sierra* standard, which comprise a significant portion of current grid usage.

b. FERC should consider assigning 100% of network upgrade costs to large loads and hybrid facilities, without a crediting mechanism.

The Joint Consumer Advocates recommend that FERC revisit the “but-for” test for determining cost causation for large load customers’ transmission upgrades, and assign 100% of network upgrade costs which would not have been incurred but-for the large load or hybrid facility’s interconnection to that facility.⁸⁹ FERC should also consider the “higher-of” policy that Commissioner Chang described, as outlined above, to the extent that it declines to assign 100% of network upgrade costs to large load and hybrid facilities. Importantly, FERC should not permit a crediting mechanism to reimburse large loads or hybrid facilities for the payment of up-front costs and should ensure that large loads and hybrid facilities continue to contribute to all network costs in addition to the direct costs of interconnection.

Several commenters disagree with the ANOPR’s proposed 100% network cost allocation to large loads and hybrid facilities.⁹⁰ One purported reason for socializing or rolling network upgrades into transmission rate base is that to do so is “long maintained” Commission policy.⁹¹ This policy, however, did not contemplate the size, planning and operating complexities of large new data center load additions, and, in many cases, the combination of large loads with generation,

⁸⁹ Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, pp. 26-27.

⁹⁰ Comments of FirstEnergy Service Company, p. 3; Comments of the Indicated PJM Transmission Owners, p. 3.

⁹¹ Comments of FirstEnergy Service Company, p. 7; Comments of the Indicated PJM Transmission Owners, pp. 10-15.

either co-located or behind the meter. Typical loads did not have interconnection studies that determined the required network upgrades because they were too small to be individually impactful. The very premise of this ANOPR is that large loads and hybrid facilities are fundamentally different from historical loads. New large loads and hybrid facilities require interconnection studies, and those interconnection studies should account for the resource adequacy challenges that require special regulatory treatment different from typical loads. Further, new investment in large data center loads can be more speculative than that in large loads which have already interconnected to the grid, increasing the risk of stranded costs; as a result, it is imperative to create new frameworks which permit FERC and the states to adapt to this new type of customer.⁹²

A second purported reason to socialize costs is that these network upgrades benefit the broader grid or regional reliability.⁹³ Under Principle 8, the network upgrades that are assigned through interconnection studies to large loads and hybrid facilities are attributable to the large load or hybrid facility. The ability of that large load or hybrid facility to interconnect requires associated network upgrades; therefore, the interconnection customer should be assigned the associated costs—not other ratepayers. Using a “but-for” method of cost causation or “higher of” method of cost allocation for the additions of large loads streamlines the interconnection process, reduces the possibility that existing customers would bear stranded costs and ensures that the interconnection of large loads provides greater system benefit than harm.

A third purported reason to socialize the associated network upgrades is that it reduces costs for all ratepayers.⁹⁴ Socialization increases the costs to non-large load customers because

⁹² See generally, ARUN, *supra* note 7 (identifying that investment in new large data center loads can be highly speculative, which creates the risk for an increase in stranded costs).

⁹³ Comments of FirstEnergy Service Company, p. 7.

⁹⁴ Comments of the Indicated PJM Transmission Owners, pp. 10-15.

they are paying for some of the network upgrade costs that they otherwise would not be paying but-for the addition of the large load customers. Additionally, large load customers should pay for their share of the existing transmission network that enables reliable service in addition to the cost of transmission plant necessary for interconnection.⁹⁵ Because network rates are often charged on a demand basis, the high demands of large loads have the potential to provide significant benefits to existing customers, but only if the growth in transmission rate base is outpaced by the growth in demand.

A fourth purported reason is that socialization speeds up interconnection by avoiding upgrade disputes.⁹⁶ Disputes over the cost of network upgrades depend on the need and costs of the upgrade, and whomever is paying for these costs may dispute them. By having large loads and hybrid facilities pay 100% for network upgrades that they are assigned, the Commission will incentivize them to locate, design, and operate their facilities so that these network costs are minimized, thereby reducing the number and amount of cost disputes. Assigning costs caused by one entity to others, which socialization does, is likely to increase, not reduce, the number of disputes. A black-line, but-for test would provide administrative certainty about cost obligations, reduce the risk of disputes, and be markedly more efficient than applying current procedures to the unique circumstances of large load additions.

A fifth purported reason is that socialization may interfere with how a state utility commission wants to assign transmission costs.⁹⁷ In either case of socialization or 100% assignment, the Commission is assigning costs to some set of transmission customers, and state

⁹⁵ See, e.g., *AMTRAK v. PPL Elec. Utils. Corp.*, 171 F.E.R.C. ¶ 61,237, PP 36-45 (2020) (providing that a transmission customer relying on both co-located generation as well as network services is appropriately charged the full network rate to prevent the risk of a “split system”).

⁹⁶ Comments of the Indicated PJM Transmission Owners, pp. 10-15.

⁹⁷ Comments of the Indicated PJM Transmission Owners, pp. 29-32.

utility commissions are still able to assign transmission costs as part of their retail ratemaking authority. However, before a state commission in a state with unbundled retail transmissions, the methodology which determines the inputs to the FERC-jurisdictional transmission charges are not subject to that state's review.⁹⁸ As a result, a FERC determination as to the methodologies appropriate for determining inputs to FERC-jurisdictional transmissions would not affect state-jurisdictional allocations of retail transmission charges.

A sixth purported reason is that 100% assignment transfers significant costs to new large load would be burdensome.⁹⁹ By having large loads and hybrid facilities pay 100% for network upgrades that they are assigned, FERC will incentivize them to locate, design, and operate their facilities such that these network costs are minimized. It also should reduce the number and complexity of these upgrades, which will reduce the time to interconnection, preserving the benefits of new large load additions for existing customers while simultaneously benefitting new large loads' interconnection.

A seventh purported reason is that ratepayers can be protected from the risk of stranded costs via utility-large load agreements and retail tariffs.¹⁰⁰ Socialization risks ratepayers paying for the stranded transmission upgrade costs of large loads and hybrid facilities, which is a real and substantial risk.¹⁰¹ Further, FERC establishing cost allocation methodologies consistent with those employed for generation interconnection would not infringe on the ability of states or utilities to require large loads to establish credit standards to alleviate the risk of stranded investment in the

⁹⁸ See *Commw. Edison Co.*, 133 F.E.R.C. ¶ 61,118, ¶¶ 11-13 (2010).

⁹⁹ Comments of PPL Services Corporation, pp. 3, 10-12.

¹⁰⁰ Comments of FirstEnergy Service Company, p. 8; Comments of the Indicated PJM Transmission Owners, pp. 10, 16-25.

¹⁰¹ See, ARUN, *supra* note 7, at 43-48, 57-58 (illustrating various financial risks throughout AI data center industry, all predicated on uncertain revenue and consumer demand that have yet to materialize, and culminating in stranded assets).

event that the large load would terminate service while the network upgrades its interconnection caused would be fully depreciated from rate base. This is why the Joint Consumer Advocates requested that FERC establish minimum contractual provisions to ensure that costs do not become stranded, a concern which is not mitigated through cost allocation methodologies, alone.¹⁰²

An eighth purported reason is that socialization of assigned network upgrades is necessary to maintain the financial viability of transmission owners and allowing a return on investment.¹⁰³ Transmission utilities frequently have arrangements, such as through PJM's regional planning initiatives, in which their transmission system and facilities are planned, maintained, and operated with the transmission systems and facilities of other transmission owners. In addition to those arrangements, traditional cost of service ratemaking is sufficient to permit transmission utilities a reasonable opportunity to earn a return on investment to serve large load customers; cost allocation methodologies appropriately designed to allocate costs to large load additions would not change the adequacy of existing ratemaking tools, which are sufficient for generation interconnection. Furthermore, FERC action on cost allocation methodologies would not infringe on a utility's ability to contract for assurances of costs, such as through security agreements.

IV. CONCLUSION

The Pennsylvania Office of Consumer Advocate, the Delaware Division of the Public Advocate, and the Office of the Illinois Attorney General respectfully request that the Commission consider and adopt the concerns and proposals set forth in these reply comments and the Initial Joint Comments submitted in this proceeding.

¹⁰² Joint Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate, pp. 31-35.

¹⁰³ Comments of the Indicated PJM Transmission Owners, pp. 9-10, 21-29.

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document on those parties on the official Service List compiled by the Secretary in these proceedings.

Dated at Harrisburg, Pennsylvania this 5th day of December, 2025.

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